

World in Brief: Bessent announces “Operation Economic Outcast” against Iran; Trump escalates trade war with Canada



Photograph: Getty Images

Scott Bessent, America's treasury secretary, threatened to expand secondary **sanctions** against **Iran's** trading partners, targeting sectors such as digital assets, technology, gold, aviation and shipping. Calling the plan “Operation Economic Outcast”, he said **Donald Trump** was asking world leaders to “cease their interactions” with Iran. But Mr Bessent did not name any countries nor set any deadlines. Iran will probably be able to [shrug off](#) America's threats.

Officials from **Pakistan** said “significant progress” was made to end the war in Iran, as they concluded a visit to Tehran. The country has been one of the main mediators during the conflict. During the trip Asim Munir, Pakistan's army chief, held talks with Iran's leaders that focused on measures including re-opening the Strait of Hormuz. He reportedly spoke with Mr Trump beforehand.

Mr Trump said America will raise **tariffs** on **Canadian** cars, automotive parts and steel to 50%, beginning on January 1st, further escalating a dispute after trade negotiations collapsed last week. America had already [imposed 50% tariffs](#) on \$20bn-worth of

Canadian goods. Mark Carney, Canada's prime minister, has promised to retaliate with levies on American products including steel, dairy and electronics from September 8th.

Taiwanese prosecutors charged nine people, including an Nvidia employee, with **smuggling chips** into China. The suspects also include two senior employees of Super Micro, an American hardware firm. Prosecutors say the group sent 74 servers containing advanced chips to China via Japan and Indonesia, [circumventing American sanctions](#), and tried to ship 56 more. Authorities have not accused either company of being involved.

The Securities and Exchange Commission reportedly subpoenaed several Wall Street banks over the implosion of **Situational Awareness**, an AI-focussed hedge fund. The regulator wants information on the fund's trading activity and its conversations with the lenders that provided it leverage. Situational Awareness borrowed enormous sums to invest in AI, but was [forced into a fire-sale](#) of assets during a sell-off of tech assets in July.

The foreign ministers of **America** and **South Korea** agreed to "maintain close communication and co-operation on resolving the North Korea nuclear issue", according to South Korea's foreign ministry. It is a tense time for the allies; Mr Trump recently ordered the [scaling back of military exercises](#) with South Korea and touted his "very good relationship" with Kim Jong Un, North Korea's dictator.

The Trump administration proposed a fee of \$103,265 for **H-1B visa** applications, a favourite of technology firms. This would replace a temporary [\\$100,000 fee](#) that was imposed last year and was recently struck down by a federal judge. The government estimates the new charge will raise \$8.8bn a year, which it says will partly fund America's "lawful immigration system".

Figure of the day: 21%, the proportion of votes Volodymyr Zelensky would receive in a presidential election, according to a poll. [Our story explores](#) Ukraine's growing political divisions.

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Correction: In Saturday's edition we wrote that the Tour de France cut short a time trial by 30km because of extreme heat. In fact it was a normal road stage that was shortened by this distance.

US in Brief: Stamp of approval for attack on mail-in ballots



Photograph: AP

The **Supreme Court** allowed Donald Trump to implement some restrictions on **mail-in ballots**, for now. Justices paused a ruling by a lower court that blocked the president from implementing parts of an executive order [directing the postal service to oversee the ballots](#). It is uncertain if his rules can be implemented before November's midterms: there is a separate block on other parts of the order.

Scott Bessent, the treasury secretary, announced **Operation Economic Outcast**, “an economic onslaught against Iran’s financial connections around the globe”. As well as enforcing its blockade of Iranian oil exports, America will increase pressure on Iran’s trading partners and on financial institutions that facilitate trade. But the threats are [more bark than bite](#): countries do not have to comply with America’s demands immediately. Mr Bessent described it as a “warning shot”.

Backlash to [the escalating trade war](#) with **Canada** gained momentum, as American business leaders and Democratic officials warned it will push up prices. On Monday Mr Trump said America will raise tariffs on Canadian cars, automotive parts and steel to 50%, having already imposed 50% tariffs on \$20bn-worth of

Canadian goods after trade negotiations collapsed last week. Mark Carney, Canada's prime minister, has promised retaliatory levies.

Alabama's attorney-general subpoenaed **OpenAI** for more information about [an incident](#) in which several of the lab's AI agents escaped a testing environment and hacked into Hugging Face, an AI platform, in July. The state is investigating whether OpenAI violated consumer-protection laws and poses a threat to citizens. Earlier this month a multi-state coalition that includes Alabama sent a letter to OpenAI demanding accountability. OpenAI said an in-depth review is under way.

Rob Bonta, California's attorney-general, cancelled a meeting on Monday with **Paramount**, accusing the company of leaking and misrepresenting ongoing discussions about a settlement related to [its \\$111bn merger](#) with **Warner Bros Discovery**. California is one of 12 states suing Paramount to block the tie-up, which they say will give the company greater leverage over cinemas and cable distributors. Paramount denied responsibility for the leak.

A ruling on one of Turkey's political prisoners



Photograph: Serra Akcan/NARphotos/eyevine

On Tuesday Europe's top human-rights court will rule once again on the imprisonment of Osman Kavala, a Turkish philanthropist who has spent almost nine years behind bars. In 2019 the European Court of Human Rights ordered his release, finding that his detention was politically motivated (Turkey had accused him of organising the Gezi Park protests, anti-government demonstrations that swept the country in 2013). The [Turkish government](#) did not comply. After a retrial, Mr Kavala was convicted in 2022 of attempting to overthrow the government and sentenced to life in prison.

The court will now decide whether the trial which led to that conviction violated his rights. Yet even if the court rules in Mr Kavala's favour, it may make little difference. The [EU](#), once vocal about his imprisonment, has grown quieter as Turkey (a [NATO](#) member) has become more important to its security. As such, Strasbourg's judges are more likely to offer Mr Kavala vindication than freedom.

Trump's economic war on Iran may backfire



Photograph: Getty Images

On Monday [Scott Bessent](#), America's treasury secretary, announced "Operation Economic Outcast" against Iran. While continuing its blockade of Iranian oil exports, America plans to increase pressure on the regime's trading partners and institutions that help it move money. Mr Bessent warned of new sanctions targeting sectors such as technology and shipping. But America took no immediate action against individual countries, such as China, which buys more than 80% of Iranian crude exports.

Iran is in dire economic straits. Its oil exports have collapsed, the rial has hit a record low and inflation is soaring. But squeezing it further will be difficult. China, for one, may resist American pressure. And the Iranian regime could respond with force, by attacking countries that co-operate with America or targeting energy facilities and ships in the Gulf. Donald Trump hopes economic strangulation will succeed where bombs and diplomacy failed. It could instead trigger another round of fighting.

The race to succeed Lindsey Graham



Photograph: Getty Images

On Tuesday Republicans in South Carolina will go to the polls for the fourth time this summer to choose their candidate to replace [Lindsey Graham](#), a senator who died in July after more than two decades on Capitol Hill. His sister, Darline Graham, appointed by the governor to fill his seat temporarily, faces Ralph Norman, a congressman and member of the House Freedom Caucus, a hardline conservative group. Ms Graham has clinched an endorsement from Donald Trump. On Friday he flew to Myrtle Beach to campaign with her.

She is the strong favourite, but has had a poor campaign. In a debate last week Ms Graham stumbled over a question about China and Taiwan before conceding that “national security is not my thing”. The gaffe highlighted how green she is on the foreign-policy issues that [her brother](#) made central to his career. Republicans looking for someone to fill his role as a hawkish voice against MAGA isolationism may be disappointed.

Lego builds on its success



Photograph: Getty Images

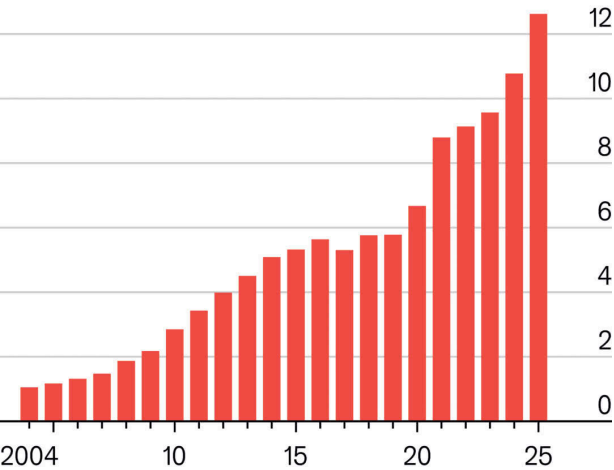
Around two decades ago Lego nearly went bankrupt. The company had strayed from its multicoloured interlocking bricks as video games and digital entertainment took hold. That lesson stuck and Lego returned to its roots. Its sales have since [grown](#) more than ten-fold to Dkr83.5bn (\$13bn)—more than those of Mattel and Hasbro, its two biggest rivals, combined. On Tuesday it reported net profits of Dkr8.6bn, an increase of a third on a year before.

Nostalgia is one building block of its success. Lego is courting grown-ups happy to splurge on pricey collector sets. Replicas of the Sagrada Familia and the Eiffel tower, designed to be showcased rather than played with, sell for more than £500 (\$680). [Kidults](#) now account for a fifth of sales.

The digital threat has not disappeared. Lego has reportedly tripled its software-engineering workforce since 2022 as a result. Its YouTube channel boasts more than 21m subscribers. Yet the core of [Lego's mission](#) remains its colourful plastic bricks—virtually unchanged since the 1950s.

Brick by brick

Lego, revenue, \$bn



Source: Company reports

A worrying turn for Zambian democracy



Photograph: Martin Mbangweta/Xinhua News Agency/eyevine

Last week Hakainde Hichilema was declared the winner of [Zambia's presidential election](#). The president's opponents have until Tuesday to challenge his re-election in court. There is one problem: on Monday the courts were closed indefinitely with authorities citing security concerns. That leaves little time for Brian Mundubile, the main opposition candidate.

Police have also summoned Mr Mundubile as the government investigates what it says was a planned insurrection. On August 14th security forces shot dead one of Mr Mundubile's associates, and arrested 11 others. He has sought protection from the UN, claiming that he won the election and the result was stolen from him. A group of Zambian churches, which monitored the count, thinks that Mr Hichilema won, but by less than the electoral commission claims. The dispute marks a worrying turn for a country whose record of peaceful transfers of power has long set it apart in the region.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Tuesday: What type of creature did Daryl Hannah play in the film “Splash”?

Monday: What title did Charlemagne take in 800_{AD} with the help of Pope Leo III?

Monday's quiz question was missing in yesterday's edition. Sorry

*All knowledge degenerates into
probability.*

David Hume